

MARKET SIZING · WORKFLOW SPEND TAM · US FOCUS

US specialty P&C actuarial workflow spend totals ~\$750M annually across the qualified carrier universe, expanded to \$9B+ across adjacent US insurance and global specialty.

A defensible, bottom-up sizing of the labor, consulting, and tooling spend currently consumed by the specialty P&C actuarial function: the workflow a specialty-actuarial software vendor such as Tesora addresses, with named carriers in every sub-segment.

SOURCE: S&P, A.M. Best, RAA, SOA/CAS salary survey, Tesora POC pricing anchors; carrier 10-Ks and annual reports

US Specialty P&C

May 2026

Bottom-up, carrier-by-carrier

POSTURE

Conservative floor,

EXECUTIVE SUMMARY · MARKET SPEND

The US specialty P&C actuarial workflow market is ~\$750M / year, consulting + tooling spend at 157 qualified carriers, with \$9B+ of adjacent expansion behind it.

- 1

This is a spend-replacement market, not a SaaS-line TAM. The category addresses the labor, consulting, and tooling carriers already spend to do pricing and reserving. The number to size is that incumbent spend, not the SaaS line items vendors currently invoice.
- 2

US specialty P&C universe = 295 carriers, ~157 qualified. E&S (150) + specialty admitted (120) + reinsurers (25). After filters for in-house credentialed actuarial, GWP scale, and contractability: 157 buyable carriers.
- 3

Per-carrier spend is \$4.5M / year. Avg 10 credentialed actuaries × \$325K fully loaded = \$3.25M labor, plus ~\$800K consulting and ~\$450K tooling. Across 157 carriers that totals ~\$750M of annual workflow spend addressable to a specialty-actuarial software vendor.
- 4

Adjacent expansion brings the category to \$9B+. US standard P&C, US life & health actuarial, big-4 consulting channel, global specialty, and adjacent modules each open with a discrete motion change.

HEADLINE NUMBERS · US FOCUS

TAM · US SPECIALTY P&C WORKFLOW SPEND

\$750M / yr
157 qualified carriers × \$4.5M avg actuarial spend

FULL UNIVERSE · US SPECIALTY P&C

\$1.1B / yr
295 carriers before qualification filters

ADJACENT EXPANSION · US + GLOBAL

\$9B+ / yr
US standard, L&H, EU/UK, APAC, consulting channel

YEAR-1 SOM · SHARE OF WALLET

\$1.3M ARR

~10 logos × \$120K = ~2.6% of customer actuarial spend

Labor cost anchor: SOA/CAS 2024 salary survey + fully-loaded multiplier from Tesora POC deck (\$325K / credentialed actuary). Consulting/tooling spend: estimated from carrier 10-K disclosures + Milliman/WTW/Verisk pricing benchmarks.

FRAMING · UNIT OF ANALYSIS

Tesora prices on two axes: per-seat licenses for credentialed actuaries plus a use on gross written premium (GWP) flowing through Tesora-built raters. The **specialty carrier with in-house pricing & reserving** is the atomic unit of this TAM build.

EXHIBIT 1 · PRODUCT, PRICING, AND BUYER

All figures from Tesora POC deck and W

DIMENSION	CURRENT OFFERING
Product	Tesora Workbench, single-tenant VPC for production
POC	\$20K, 2 weeks, refundable 1:1 against year-one production
Production ACV	"Low six figures annually", sized at \$120K conservative
Lever 1: Seats	Named credentialed actuaries, banded by team size
Lever 2: GWP fee	% of annual GWP quoted, bound, or filed through Tesora-built raters; scales with carrier size
Primary buyer	Chief Actuary, Head of Pricing, Appointed Actuary, CRO
Power user	1–3 credentialed actuaries per carrier
Unit of TAM	1 specialty P&C carrier with in-house pricing & reserving = 1 count; TAM = sum across all qualified carriers

Source: docs/sales/poc-proposal-deck.html; docs/sales/workbench-one-page.html; tesora newsletter-contacts research

Why "specialty carrier with in-house actuarial" is tl

Carriers that outsource pricing to consultants buy through that c directly. MGAs without credentialed actuaries buy through their t Captive insurers under \$25M GWP can't justify six-figure tooling is real volume, none of them is the unit being sized here.

PRICING ANCHOR · COMPETITIVE BAND

Generic AI assistants run ~\$25K / yr for a 70-person team. Codin ~\$125K / yr for the same team. Tesora's "low six figures" sits in tl that band for a specialized actuarial workflow tool. We size at the band.

SEAT DENSITY · CALIBRATION

Mid-sized specialty carriers run 6–10 credentialed actuaries wher and reserving are included. The pricing-and-reserving wedge add them; this analysis conservatively sizes at 4 seats per carrier.

UNIVERSE · US SPECIALTY P&C · 295 CARRIERS

The US specialty P&C universe is 295 named carriers across three sub-segments every one of them is a real, identifiable buyer with credentialed actuaries on staff.

EXHIBIT 2 · US SPECIALTY P&C UNIVERSE · REPRESENTATIVE CARRIERS SHOWN BY SUB-SEGMENT

TESORA PROSI

US Excess & Surplus (E&S) Carriers · 150

SOURCE: AM BEST / WSIA ACTIV

 Markel	 BHSI	 AIG	 W.R. Berkley	 Arch Capital	 Zurich NA	 Liberty Specialty	
 Hiscox USA	 Beazley	 RSUI	 Argo	 Ascot	 HIIG	 Hudson	

US Specialty Admitted · 120

WORKERS COMP · CYBER · MARINE · AVIATION · ENERGY · PROFESSIONAL · E

 Chubb	 Travelers	 The Hartford	 Tokio Marine	 Skyward Specialty	 Westfield Specialty	 Selective	
 Coalition	 At-Bay	 Pie Insurance	 Vouch	 Accelerant	 Bowhead	 Vantage	

US Reinsurers · 25

SOURCE: REINSURANCE ASSOCIATION OF AMERICA + BERMUD

 Munich Re	 Swiss Re	 Gen Re	 TransRe	 Everest Re	 RenaissanceRe	 Odyssey Re	
 Hannover Re	 SCOR US	 Aspen Re	 AXIS Re	 Canopus	 QBE Re	 SiriusPoint	

named carriers identified across the three sub-segments.

FORWARD-LEANING SUB-UNIVERSE · NEXT-GEN MGAS & FRONTING CARRIERS

A forward-leaning slice of ~25 next-gen MGAs and fronting carriers sits at the fro AI-adoption curve; conservatively this represents ~\$30M of incremental workflow behind the headline \$750M, partially overlapping the 295 main universe, and is w Effective AI Labs competes most directly today.

EXHIBIT 3 · FORWARD-LEANING SUB-UNIVERSE · MGAS AND FRONTING CARRIERS WITH IN-HOUSE PRICING TESORA PROSI

Next-gen specialty MGAs & carriers · ~15 firms CYBER · CONSTRUCTION · HOSPITALITY · WORKERS COMP · MANAGEMENT LIABILITY

 Rainbow	 Shepherd	 Dellwood	 Vouch	 Coterie	 At-Bay	 Cowbell	
 Pie	 Embroker	 Boost	 Joyn	 Kettle	 Breach Insured	 Olive	

+9
MORE NEXT-GEN
MGAS

Fronting carriers & MGA platforms · ~8 firms HYBRID FRONTING/PROGRAM CARRIERS RUNNING DOZENS OF IN-HOUSE ACTUARIES ACROSS SYNDICA PROGRAMS

 Accelerant	 Trean	 State National	 Clear Blue	 Spinnaker	 Obsidian	 K2 Insurance	
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+5
MORE
FRONTING/PLATFORM

es; AM Best 2025; CB Insights InsurTech tracker; public InsurTech raises 2021-2025; Tesora Attio prospect research. Logos illustrative; many firms appear in both this slice 95 main universe.

CONSERVATIVE SUB-TAM MATH
~25 firms x ~\$1.2M avg workflow spend (smaller in-house teams than the 295) = ~\$30M incremental sub-TAM. ~\$10M already counted inside the 295 (At-Ray, Pie, Skoward, etc.); ~\$20M genuinely additive. Sub-SOM at current motion.

IS IT WORTH OUR TIME? · NEUTRAL READ
Pursue selectively. PROs: modern-stack DNA, fast adoption velocity, AI-friendly buyers, c marketing halo. CONs: lower seat counts per loop, head-on competition with Effective AI I

All quotes pulled directly from recorded calls

"The underwriting intake portion is more client facing, and our experience right now is like less than ideal. ... we're kind of like figuring out what our process is, and like sometimes we don't know like what we don't know, and so it could be like a bottleneck or cause like relational sales issues because we don't know when to ask for questions, we don't know what information to ask for, we don't have like a standardized format in some cases."

"I thought Akur8 was just too rigid. Like if you didn't want to build a GLI that was the only pony they had in the race. You couldn't create your own wanted ... something that goes out and gets, let's say, energy commodities adjusts your exposure base from some API, ... the rate would fall flat. I couldn't build it. HX can, but now you need your actuaries to be Python programmers."

"We are connecting with a couple of reinsurers ... we are in the final stages of those conversations where they provide us with the capacity. And then at the same time we are working our way towards becoming an MGA, that means setting up our underwriting team. ... when it comes to the actuarial part ... we are working our way towards generating those loss curves and pricing curves on how it will look ... It's a process or function of evolution."

"Smart companies actually do the work ahead of time to figure out when they can align, and even though it makes no actuarial sense, they'll file when they can, even though it's not really 50, but that's what the template shows so they can actually get a rate indication that they need. At CNA we were building that out when I left. ... we've doubled down on Effective AI ... it is definitely a top priority pushed out to the whole company."

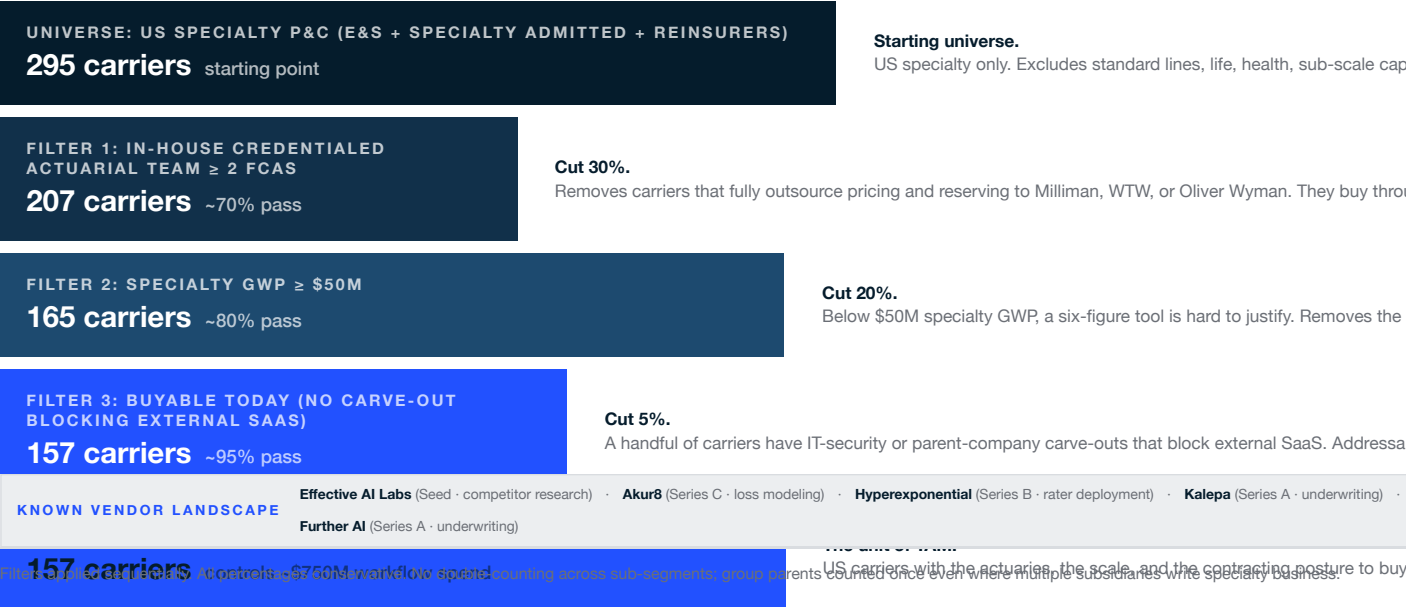
Lee Kraemer · VP Pricing, Skyward Specialty (ex-CNA) · May 13, 2026

QUALIFICATION FUNNEL · US

Three sequential filters reduce the US specialty P&C universe of 295 carriers to 157 qualified buyers: the carriers that own the workflow spend the category addressable

EXHIBIT 5 · US CARRIER QUALIFICATION FUNNEL

Carriers · cumulative

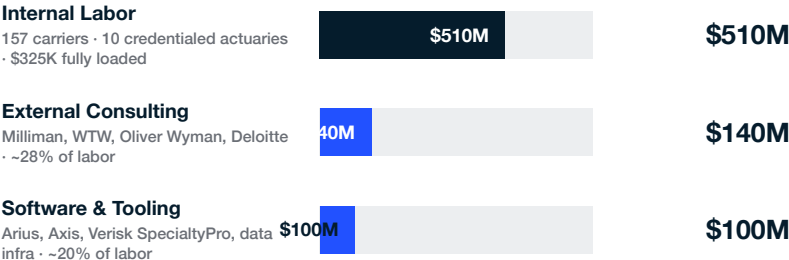


DOLLAR SIZING · WORKFLOW SPEND TAM

The 157 qualified US carriers spend ~\$750M / year on actuarial labor, consulting, tooling; Tesora's current pricing captures just ~2.7% share of wallet.

EXHIBIT 6 · WORKFLOW SPEND BUILD · PER-CARRIER AND CATEGORY-LEVEL

Bottom-up build · annual spend at 157 carriers



Per-carrier view · \$4.5M actuarial spend



TOTAL · US SPECIALTY P&C WORKFLOW TAM

\$510M labor + \$140M consulting + \$100M tooling = **\$750M of annual spend** directly addressable by a specialty-actuarial product wedge (pricing + reserving + submission + data reconciliation)

WHY THIS MATTERS

Tesora's pricing captures only ~3% of workflow spend per carrier

KNOWN VENDOR LANDSCAPE

Effective AI Labs (Seed · competitor research) · Akur8 (Series C · loss modeling) · Hyperexponential (Series B · rater deployment) · Kalepa (Series A · underwriting) · Further AI (Series A · underwriting)

Labor: SOA/CAS 2024 salary survey (\$165–\$210K base for credentialed pricing actuaries) × 1.6 fully-loaded multiplier = \$325K (anchored to Tesora POC deck). Team size 10 = midpoint of observed (3–20) at qualified specialty carriers. Consulting/tooling ratios estimated from carrier 10-Ks and vendor pricing benchmarks.

VOICE OF CUSTOMER · VERBATIM FIELD QUOTES

The \$750M workflow spend is not a slide-ware estimate; specialty actuaries describe labor, the urgency, and the whitespace in their own words.

EXHIBIT 7 · VERBATIM PROSPECT QUOTES · SOURCED FROM RECORDED TESORA DISCOVERY CALLS (FEB–MAY 2026) Names used with consent; file

PAIN · "NOT EVEN ACTUARIAL"

"This is what you have to use, this is the template you have to put it through... at CNA, we were building that by hand when I left. It's a repeatable thing. And it's not even really actuarial, frankly, it's a fricking grind."

Lee Kraemer · VP Pricing, Skyward Specialty (ex-CNA) · May 13, 2026

CREDIBILITY · "MASSIVE UNLOCK"

"All the stuff you just described plus actuarial, underwriting... if we could be data-driven, automated, to use AI, that would be a massive unlock for capacity provider. Like, massive."

Ian O'Connor · Building three businesses at Accelerant · Feb 11, 2026

WHITESPACE · "NOBODY ELSE DOING THAT"

"The person I think you should show this to is my chief actuary, honestly... I don't know of anybody else doing that, which is funny because there's plenty of consultants out there subsidizing software teams... but they're not doing stuff like this."

Mario DiCaro · Head of Predictive Analytics & AI, Tokio Marine · May 7, 2026

URGENCY · "GETTING BEHIND"

"We think that we are getting behind, that somebody else is doing it faster than we want to get ahead of our competitors."

Sandra Vilchis Bernal · Actuarial Director, Allianz Mexico (26 yrs) · May 25, 2026

Across 30+ recorded discovery calls in 2026 H1, three themes recur: (1) credentialed actuaries describe rate-filing and competitive research as non-actuarial

KNOWN VENDOR LANDSCAPE

Effective AI Labs (Seed · competitor research) · Akur8 (Series C · loss modeling) · Hyperexponential (Series B · raters deployment) · Kalepa (Series A · underwriting) · Further AI (Series A · underwriting)

Quotes are verbatim transcripts retrieved via Attio call-recording semantic search across Tesora's 2026 discovery calendar. Speakers consented to recording; attributions confirmed against meeting metadata. Sandra Vilchis Bernal (Allianz Mexico) included for voice consistency though geography sits outside the US TAM cut.

EXPANSION · ADJACENT WORKFLOW SPEND

Beyond US specialty P&C, six adjacent universes carry ~\$9B of additional actuari workflow spend; each opens with a discrete motion change, none baked into the headline.

EXHIBIT 8 · ADJACENT UNIVERSES · REPRESENTATIVE CARRIERS AND ANNUAL WORKFLOW SPEND

Workflow

EXPANSION · ICP US Standard P&C State Farm Allstate Progressive GEICO USAA Erie + \$2.5B ~2,200 carriers. Different buyer cadence, longer cycle. Unlocks with mid-market AE motion.	EXPANSION · LINE US Life & Health Actuarial MetLife Prudential NY Life Northwestern MassMutual ~700 carriers. Same product wedge, different regulatory frame (ASOP 41/52 vs 56). Needs L& design.
EXPANSION · GEO UK & EU Specialty Lloyd's Hiscox Beazley Aviva Allianz AXA XL + \$1.5B ~135 carriers. English contracting, similar regulatory posture (PRA/EIOPA). Needs in-region SE and Solvency II coverage.	EXPANSION · GEO APAC Specialty Tokio Marine AIA Sompo MS&AD OBE ~80 carriers across Singapore, Sydney, Tokyo, Hong Kong. English contracting feasible. Part motion.
EXPANSION · CHANNEL Consulting Partner Channel Milliman WTW Oliver Wyman Deloitte EY Aon + \$0.8B ~10 firms with US insurance practices. Deploys across hundreds of client engagements; partner motion required.	EXPANSION · MODULE Adjacent Actuarial Functions Capital Modeling Cat Modeling ALM Same buyer, additional modules on existing seats. Highest-leverage expansion path.

BOTTOM LINE

US specialty P&C is a \$750M workflow market nameable carrier-by-carrier, with \$9B of adjacent expansion and a Year-1 motion that is capacity-bound, not market-bound.

EXHIBIT 9 · ONE-LINE SUMMARY

The 157 qualified US specialty P&C carriers spend ~\$750M annually on actuarial labor, consulting, and tooling, and a specialty-actuarial software wedge such as Tesora's addresses all three. Adjacent expansion across standard P&C, life and health, UK/EU, APAC, consulting, and adjacent modules adds another ~\$9B. Year-1 SOM is \$1.3M ARR, capacity-bound by founder-led POC throughput, not by market demand.

Independent market analysis · May 2026

WHAT WOULD CHANGE THE NUMBER

(1) Hire one AE → POC throughput 2x, SOM doubles to ~\$2.5M Year 2. (2) Sign first consulting partner → +\$800M TAM unlocks. (3) Launch L&H module with design partner → +\$2B TAM with same product spine. (4) Mature ACV from \$120K to \$300K → share of wallet rises from 2.7% to 6.7% → no new logos required. All figures are conservative, assumed-carrier-defensible. See Exhibits 1–5.

TAM · US SPECIALTY WORKFLOW SPEND

FULL US SPECIALTY UNIVERSE

ADJACENT EXPANSION · US + GLOBAL

PER-CARRIER AVG SPEND

TESORA SHARE OF WALLET (CONSERVATIVE)

TESORA SHARE OF WALLET (MATURE)

QUALIFIED US CARRIERS

SOM · YEAR 1 ARR